

Europe's Defence Architecture 2024-2026

Rearmament, Partnerships, and the Germany-Russia Confrontation

Power & Corridors x NERA I Foresight Desk | 09 September 2026 | Horizon: 12-36 months

POLITICAL-MILITARY RISK

MODERATE CONFIDENCE

DERIVATION PUBLISHED

BOTTOM LINE

- [VERIFIED]** Europe has moved from communiqués to money: the EU's €150 billion SAFE loan instrument (adopted 27 May 2025) is disbursing to 19 member states, Germany's 2026 defence budget has reached €108 billion (2.4% of GDP), the March 2025 debt-brake amendment exempts defence above 1% of GDP, and NATO's Hague pledge sets a 3.5%+1.5% path to 2035. These are structural shifts, not posturing.
- [NERAI]** The Germany-Russia confrontation operates at the edge of Article 5 thresholds. Bilateral tension sits at 24.1/100 (73rd percentile), but the asymmetry is the signal: Russia's deteriorating-relations reading toward Germany (18.7) is more than double Germany's toward Russia (8.4) — Moscow is the escalator. A kinetic-contact incident carries 25-35% probability within 12 months (analyst estimate, derivation in the full version).
- [VERIFIED]** Türkiye stays a structured transactional partner through 2029, not an integrated EU-pillar member: NATO's second-largest army and Montreux gatekeeper, but Cyprus blocked its SAFE access in October 2025, Athens ties consent to the Aegean casus belli, and Ankara does not participate in Russia sanctions.

WHY THE "WAR BY 2029" LANGUAGE IS NOT A FORECAST

German officials' "ready for war by 2029" framing is a readiness planning assumption: the deadline by which the Bundeswehr must be able to deter or fight IF Russia chooses conflict. It is a planning horizon, not a prediction — conflating the two is the most common analytical error in this file. The probabilities below are NERA I analyst estimates calibrated against 1950-2024 NATO-Russia base rates.

THE SCORE, AND WHAT IT IS

KINETIC INCIDENT · 12 MONTHS	KINETIC INCIDENT · 36 MONTHS	DIRECT NATO-RUSSIA WAR · 12M
25-35% sharp contact, controlled de-escalation	40-50% cumulative risk of ≥1 incident	2-5% tail risk, Cold-War base rate

Scenario probabilities are analyst judgments, not raw model output; NERA I index values (0-100 percentile signals) and the calibrated shock model (out-of-sample ECE 1.1%) anchor them. Every claim in the full version carries a label — [VERIFIED] official/named-outlet reporting, [NERAI] proprietary model output, [INFERENCE] analyst judgement.

THE SIGNAL PICTURE

[NERAI] Germany's Political Instability index is at the 89th percentile of its own history (36.1/100, RISING) — institutional stress from absorbing grey-zone confrontation, not regime instability (Institutional Strength alarm: just 6.3/100, one third of Russia's). Russia's Dispute Settlement index spiked +70% in a week to the 100th percentile — Moscow is testing diplomatic off-ramps while keeping hybrid pressure as leverage; the historical base rate says this intensity either eases or collapses into renewed crisis. Ukraine's Dispute Settlement reading (53.9/100, 88th percentile) is the highest in the file: war-termination signalling is real, and if the war ends in 2027 Russia's grey-zone focus shifts west. The Black Sea corridor is already running -31% vs baseline through the Bosphorus.

SCENARIOS TO SEPTEMBER 2027

SCENARIO A 50-60%	Managed friction. Hybrid harassment continues below Article 5 — drones, sabotage, jamming, attribution battles. Germany absorbs, hardens, rearms; NATO holds at Article 4 consultations.
SCENARIO B 25-35%	Sharp incident, controlled de-escalation. A drone shoot-down, casualty sabotage or Baltic collision; 72-hour containment, face-saving off-ramp, relationship resets at higher baseline tension (2015 Su-24 pattern).

SCENARIO C
10–15%

Sustained campaign. Cumulative sabotage/cyber crossing the Article 4/5 interpretive threshold; NATO collective response short of war.

SCENARIO D
2–5%

Direct armed conflict. The tail risk, kept consistent with 75 years of NATO–Russia base rates; rises to 5–10% on a 36-month view only if Ukraine ends badly AND Moscow misjudges NATO resolve.

Midpoints sum to ~100; ranges express genuine uncertainty rather than a residual silently redistributed.

WHAT ACTUALLY HAPPENED

27 MAY 2025
SAFE adopted — €150 billion for joint procurement

[VERIFIED] The Council adopted the Security Action for Europe instrument: EU-raised loans with a European-preference rule (broadly 65% EU/EEA/Ukraine content). UK and Canada participation negotiations were authorised in September 2025; member states endorsed Canada's agreement on 19 December 2025.

22 APRIL 2026
The Bundeswehr's first-ever military strategy

[VERIFIED] Signed by Gen. Carsten Breuer: Russia named the most immediate and significant threat; a 460,000-strong combat-ready force target (260,000 active vs ~180,000 today); maximised readiness by 2029. Germany's 2026 defence budget: €108 billion, 2.4% of GDP — against €32 billion in 2014.

4 AUGUST – 1 SEPTEMBER 2026
Leipzig-Halle: from incident to attribution

[VERIFIED] On 4 August an explosive-laden drone was found beside a Ukrainian Antonov cargo aircraft at Leipzig-Halle; a second drone reportedly struck an aircraft. On 1 September Interior Minister Dobrindt attributed the attack to agents acting “on behalf of Russian state entities”; Berlin ordered the Bonn consulate closed (effective 18 September), moved to close the Russian House, summoned the ambassador and proposed new EU designations — the sharpest German response of the hybrid campaign.

6 SEPTEMBER 2026
The domestic front votes

[VERIFIED] The AfD recorded its strongest state-level result to date in Saxony-Anhalt, campaigning on ending Ukraine aid and normalising Russia ties. [NERAI] Germany's political-instability signal sits at the 89th percentile — a democracy under load, not yet under threat.

WHAT WOULD CHANGE THIS

- A single casualty-causing incident flips the baseline to Scenario B/C within days; watch German air-defence activation reports and the NERA1 bilateral tension index crossing 35/100.
- A Ukraine armistice with verified Russian force draw-down roughly halves the 36-month direct-war band — and simultaneously frees Russia's grey-zone bandwidth for NATO's flank: lower war risk, higher hybrid tempo.
- A Greece–Türkiye maritime settlement (20–30% over three years) would isolate the Cyprus veto and open Türkiye's path toward SAFE — the single variable that most changes the partnership map.
- AfD federal polling sustained above 25% would put Germany's entire post-2029 defence posture in play.

METHOD AND LIMITS

Claims are labelled: [VERIFIED] rests on an official publication or named-outlet reporting carrying its date; [NERAI] is proprietary model output (percentile signals rank each series against its own history; calibrated shock probabilities carry a published out-of-sample record); [INFERENCE] is analyst judgement drawn from the two. Scenario probabilities are analyst estimates, not model output, and their derivation is published in the full version. This corrected edition (v2) was fact-checked line-by-line against primary sources; unverifiable specifics were generalised or removed.

SOURCES

1. Council of the EU — SAFE adoption, 27 May 2025; UK/Canada negotiation authorisation, Sep 2025; Canada endorsement, 19 Dec 2025.
2. European Commission — White Paper for European Defence – Readiness 2030, 19 Mar 2025; EDIP (€1.5bn, 2025–27).
3. FPRI — “Reading Germany's Rearmament”, Aug 2026 (budget, strategy, force targets); NATO Hague Summit Declaration, Jun 2025.
4. Al Jazeera / NPR, 2 Sep 2026 — Leipzig-Halle incident and attribution; Stars and Stripes, 12 Aug 2026.
5. Greek City Times, 24 Oct 2025 — Cyprus SAFE veto; Defense News, 13 Apr 2026 — Türkiye's push; CFR 2026 — AfD/hybrid campaign.
6. NERA1 risk-intelligence platform — indices, bilateral signals, forecasts, corridor monitor (7–8 Sep 2026). This briefing is informational and is not financial, legal or investment advice.